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N° 47

LIFE SITUATIONS

COLLECTION

Helping Your Child Buy a Home

Gift, loan or co-signing — support them without putting yourself at risk.



2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

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Helping Your Child Buy a Home · Collection Life Situations · Guide No. 47 · 2026 Edition

COLLECTION LIFE SITUATIONS · GUIDE NO. 47

Helping Your Child Buy a Home

Gift, loan or co-signing – support them without putting yourself at risk

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More and more parents are helping their children access property. It's a beautiful gesture - one that deserves to be structured to protect everyone. Donation, loan, co-signature: each formula has its implications.

This guide compares ways to help, their benefits and risks, and how to protect yourself.

Informative content, not legal or tax advice: consult a notary and an accountant. Each chapter ends with a lined "My Notes" page.

More and more parents are helping their children access property. This beautiful gesture deserves to be structured. This guide compares ways to help - donation, family loan, co-signing - their benefits, their risks, and how to protect yourself.

Informative content, not legal or tax advice: consult a notary and an accountant.

CHAPTER

The donation for the down payment

> *Understand the simplest formula.*

Donating a sum for a down payment is common and **accepted by lenders**, provided you provide a **donation letter** confirming that this is not a repayable loan.

It's simple, but the money donated is no longer yours. Two points of vigilance:

- Consider the**equity** between your children (if you have several).
- Consider the impact on your own retirement finances.

Donation for down payment is common and accepted by lenders, with a donation letter confirming that it is non-refundable. Simple, but the money donated is no longer yours: consider fairness between your children and the impact on your finances. Never empty your retirement cushion to help.

> EMILIE'S ADVICE
>
> *Never empty your retirement cushion to help a child. A generous donation that weakens you doesn't help anyone in the long term: help as much as you can really afford.*

CHAPTER

The family loan

> *Lend rather than give, properly.*

You can **lend** rather than giving to your child. In this case, put the terms **in writing** : amount, reimbursement, possible interest.

Warning: a loan to be repaid can **affect borrowing capacity** of the child and must be disclosed to the lender.

A poorly documented family loan is a classic source of misunderstandings: clarity protects the relationship.

You can lend rather than give: then put the terms in writing (amount, repayment, possible interest). Please note, a loan to be repaid can reduce the child's borrowing capacity and must be disclosed to the lender. A poorly documented family loan is a classic source of misunderstandings.

> EMILIE'S ADVICE
>
> *Put the family loan on paper, even between parent and child. A simple document that specifies "who owes how much, repaid how" avoids years of unspoken words and resentment.*

CHAPTER

Co-signing: helping without giving money

> *Understand the real commitment of a co-signer.*

In **co-signer** the mortgage, you help your child qualify thanks to your income and your credit. But the commitment is real:

- You become **responsible for the debt**.
- If the child does not pay, the lender can turn to you.
- This shows up on your credit report and affects your own borrowing ability.

Co-signing is not a simple courtesy signature: it is a full financial commitment.

By co-signing the mortgage, you help the child qualify with your income and credit - but you become responsible for the debt. If they don't pay, the lender turns to you, and that affects your own borrowing ability. Only co-sign if you can actually afford it.

> EMILIE'S ADVICE
>
> *Never co-sign "just to help" without understanding that you are committing to the entire debt. If the child stops paying, the bank will call you. Only sign if you can afford it.*

CHAPTER

Protect yourself while helping

> *Help in a way that protects everyone.*

Helping your child is a beautiful gesture - which deserves to be **structured**. A few reflexes protect the child *and* you:

- **Document** systematically (donation letter or loan contract).
- Consult a **notary** and a **accountant** on the legal and tax implications.
- Plan for the case where the child's couple separates (especially if they buy together).

It's not a lack of trust: it's protecting the family relationship.

Helping deserves to be structured to protect everyone: systematically document it (donation letter or loan contract), consult a notary and an accountant, and plan for the case where the child's couple separates (especially if they buy together). An agreement can protect the amount given.

> EMILIE'S ADVICE
>
> *If your child purchases as a couple, consider what happens to your gift in the event of separation. An agreement between spouses can protect the amount you offered. The notary will be able to guide you.*

CHAPTER

Choosing the right form of help

> *Make an informed decision.*

Donation, loan, co-signature: each formula has its logic. To choose:

1. **Clarify** the form of assistance envisaged and your real capacity.
2. Evaluate**impact** on your own finances.
3. **Document** everything (donation letter or loan contract).
4. **Consult** a notary/accountant before committing.

Good help is that which helps the child move forward without putting yourself in danger.

Donation, loan, co-signature: each formula has its logic. To choose, clarify the envisaged form and your real capacity, assess the impact on your finances, document, and consult before committing. The right help helps the child move forward without putting yourself in danger.

> EMILIE'S ADVICE
>
> *There is no "best" universal formula: it all depends on your situation. The important thing is to choose with full knowledge of the facts, in writing, rather than on impulse.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Clarify the form of assistance envisaged (donation, loan, co-signature).
2. Assess the impact on my own finances.

Within 30 days

1. Document the aid (donation letter or loan contract).
2. Consult a notary/accountant on the implications.

Then

1. Help in a way that protects the child AND myself.

Before helping

1. Clarify the form of assistance and assess the impact on my own finances.
2. Document (donation letter or contract) and consult notary/accountant.

REFERENCES

Resources & glossary

- Donation letter: document confirming that a donation is non-refundable.
- Family loan: repayable aid, to be documented in writing.
- Co-signature: legal commitment of the parent on the child's mortgage.
- Borrowing capacity: influenced by a loan to be repaid or a co-signing.
- Equity between children: to consider when helping only one child.

- Donation letter: document confirming that a donation is non-refundable.
- Family loan: repayable aid, to be documented in writing.
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- Borrowing capacity: influenced by a loan or co-signing.
- Equity between children: to consider when helping only one child.

GO FURTHER

Quiz - test yourself

1. The down payment donation requires:

A) Nothing
B) A donation letter confirming that it is non-refundable
C) A notary only
D) A refund

2. When helping a child, you must not:

A) Document the help
B) Empty your retirement cushion
C) Consult a professional
D) Think about fairness

3. A family loan must be:

A) Verbal
B) Put in writing (amount, reimbursement, interest)
C) Secrecy
D) Ignored by the lender

4. A loan to be repaid can:

A) Increase borrowing capacity
B) Affect the child's borrowing capacity
C) Reduce taxes
D) Have no effect

5. Co-signing a mortgage means:

A) A simple courtesy
B) Become responsible for the debt
C) Give money
D) Rent

6. The cosignature appears:

A) Nowhere
B) In your credit report
C) On the house
D) To the city

7. To protect yourself by helping, you must:

A) Do not write anything
B) Document and consult notary/accountant
C) Pay cash
D) Trust your word

8. If the child buys as a couple, think about:

A) Nothing
B) What happens to the gift in the event of separation
C) Double the donation
D) Hide help

9. Structuring aid means:

A) A lack of confidence
B) Protect the family relationship
C) Useless
D) Illegal

10. The best form of help is:

A) Always the gift
B) The one chosen knowingly, in writing
C) Always co-signing
D) On a crush

Answers

1. B - Donation letter (chap. 1).
2. B - Help without weakening yourself (chap. 1).
3. B - To be documented (chap. 2).
4. B - Impact on financing (chap. 2).
5. B - Real commitment (chap. 3).
6. B - It affects your credit (chap. 3).
7. B - Structuring aid (chap. 4).
8. B - Protect the amount given (chap. 4).
9. B - Protect the family (chap. 4).
10. B - Make an informed decision (chap. 5).

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You now have the right keys in hand.

Every real estate journey is different.

If you would like to go further,
I would be happy to discuss
your project with you.



Make informed decisions.
Choose with confidence.
Live without regrets.
See you soon,
Emilie ☺

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